EQUITY RESEARCH · COMPANY DEEP DIVE

Apple Inc. (AAPL.US)

UNDERWEIGHT
Blended Target: $291.43
DCF + Comps + Analyst (see cross-check table)
Implied upside: -5.2%

Technology · Consumer Electronics
Large Cap (>$200B) · Report Date: June 01, 2026
Latest financials: Q3 FY2025 · Model data as of 2026-06-01

Price (Jun): $307.45

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target $291.43 (-5.2% vs $307.45); multi-method valuation after outlier checks.
- Modest revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **UNDERWEIGHT** rating; blended target $291.43. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$4.52T	Shares Out.	14687.4M
52-Week Range	$195.07 – $315.00	P/E (TTM)	37.2x
P/B	42.3x	Beta	1.06
Avg Volume	44.27M	Analyst Rec.	Buy
Revenue (TTM)	$416.16B	Rev Growth	+6.4%
Op. Margin	32.3%	FCF (TTM)	$98.77B

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	391,035	416,161	442,901	466,144	486,764
Revenue Growth (%)	N/A	6.4%	6.4%	5.2%	4.4%
Net Income ($M)	93,736	112,010	119,207	125,463	131,013
Net Income Growth (%)	N/A	19.5%	6.4%	5.2%	4.4%
Gross Margin (%)	46.2%	46.9%	47.9%	47.9%	47.9%
Net Margin (%)	24.0%	26.9%	26.9%	26.9%	26.9%
ROE (%)	164.6%	151.9%	161.7%	154.3%	153.5%
EPS ($)	6.38	7.63	8.12	8.54	8.92
Book Value / Share ($)	3.88	5.02	5.02	5.53	5.81
P/E (x)	48.17	40.31	37.88	35.99	34.47
P/B (x)	79.29	61.24	61.24	55.55	52.90
Dividend Yield (%)	35.0%	35.0%	35.0%	35.0%	35.0%

Page 2 of 2 · Apple Inc. (AAPL) · Valuation · Industry · Peers · Data as of 2026-06-01 · Q3 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$111.83	-63.6%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — P/E (peer median)	$255.20	-17.0%	—	Peer median P/E 30.9x
Comps — EV/EBITDA (peer median)	$275.36	-10.4%	—	Peer median 28.4x
Comps — P/S (peer median)	$307.31	-0.0%	—	Peer median P/S 10.8x
Comps — Blended (avg. of available multiples)	$279.29	-9.2%	61%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	$310.51	+1.0%	39%	Included in blend
Blended target (weighted)	$291.43	-5.2%	100%	Comps 61% + Analyst 39%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	9.86%
Terminal g	1.50%
FCFE growth	5.95%
Base FCFE	$107.02B
PV explicit (5Y)	$480.70B
PV terminal	$1.08T
Equity value (adj.)	$1.64T
Implied price	$111.83
vs. current	-63.6%

INDUSTRY ANALYSIS

1. Industry Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple Vision Pro, Apple TV, Apple Watch, Beats products, and HomePod, as well as Apple...

2. Key Trends

- Moderate revenue expansion (6.4% YoY)
- High operating leverage (32.3% margin)
- Sector: Technology | Industry: Consumer Electronics

3. Risk Factors

- Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	$5.43T	34.4x	30.6x	63.0%	+85.2%
GOOGL	Alphabet Inc.	$4.58T	28.8x	28.4x	37.9%	+21.8%
MSFT	Microsoft Corporation	$3.44T	27.6x	18.4x	39.3%	+18.3%
AMZN	Amazon.com, Inc.	$2.84T	30.9x	19.3x	12.2%	+16.6%
AAPL*	Apple Inc.	$4.52T	37.2x	28.8x	27.2%	+6.4%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Modest revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.